



Tata Elxsi reported a healthy performance in Q1FY23 with revenue growth marginally below our estimate and profitability above our estimates despite wage hike given to senior employees

- INR revenue came in at INR 7,529 Mn, +6.5% qoq / +30% yoy and - 3.3% below our estimates
- EBITDA was reported at INR 2,382 Mn, +7.7% qoq / +58.8% yoy and in-line with our estimates
- EBITDA margins stood at 32.8%, vs 32.5% / 26.9% in Q4FY22 / Q1FY23 respectively and 100 bps above estimates.
- PAT came in at INR 1,847 Mn, +15.4% qoq / +62.9% yoy and 7.2% above our estimates
- EPS at INR 29.7 in Q1FY23 vs 25.7 / 18.2 in Q4FY22 / Q1FY22 respectively
- Industry-wise Growth was led by Transportation at +7.8% qoq / +46.3% yoy, followed by Healthcare & Medical Devices at +7.4% qoq / 47.6% yoy
- Services-wise: EPD (89% of revenue) grew +6% qoq / +38% yoy, Industrial Design (9% of revenue) grew at 14% qoq / -12.8% yoy

Segment-wise Performance

- **Industry-wise** Growth was led by Transportation at 7.8% qoq / 46.3% yoy, followed by Healthcare & Medical Devices at 7.4% qoq/ 47.6%. Media & Comms at 3.7% qoq / 27.8% yoy
- **Services-wise:** Sequential Growth was driven by Industrial Design & Visualization (9% of revenue) at 8.7% qoq / -10.1% yoy. EPD (89% of revenue) grew +7.6% qoq / 38.4% yoy.

Y/E Mar (Rs mn)	FY 20	FY 21E	FY 22E	FY 23E	FY 24E
Net sales	16,099	18,261	24,708	30,914	34,516
EBITDA	3,430	5,224	7,657	10,178	11,240
Adjusted net profit	2,571	3,687	5,517	7,975	9,067
Free cash flow	2,186	4,174	4,566	7,610	8,524
EPS (Rs)	41.3	59.2	88.6	128.1	145.6
growth (%)	-11%	43%	50%	45%	14%
P/E (x)	195.1	136.1	90.9	62.9	55.3
P/B (x)	46.0	37.1	29.8	23.2	18.5
EV/EBITDA (x)	165.5	103.4	68.9	51.3	46.2
D/E	0.1	0.1	0.0	0.0	0.0
ROCE (%)	26.9	27.2	34.7	40.1	37.4
RoE (%)	24.1	26.9	33.9	38.3	34.7
Dividend yield (%)	0.2	0.6	0.4	0.6	0.7

Source: Company

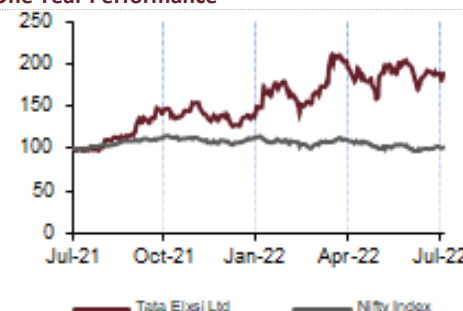
Rating	TP (Rs)	Up/Dn (%)
BOOK PARTIAL PROFIT	7,280	-10

Market data

Current price	Rs	8,061
Market Cap (Rs.Bn)	(Rs Bn)	502
Market Cap (US\$ Mn)	(US\$ Mn)	6,284
Face Value	Rs	10
52 Weeks High/Low	Rs	9420 / 4106.3
Average Daily Volume	(000)	385
BSE Code		50040
Bloomberg		TELX.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	43.92	44.08
Public	56.08	55.92
Total	100	100

Source: Bloomberg

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Concall Highlights

- Strong order book and a healthy deal pipeline across the key markets and industries in FY23.
- EPD and Industrial Design & Visualization witnessed growth fueled by Design led deals and AR, VR deals. In EPD growth was contributed by all verticals.
- **Transportation:** Have good adjacency in the off road, rail and Commercial vehicle space.
- **Media & Communication:** Has shown a consistent growth rate over the last 6 quarters. New opportunity coming up with the upcoming 5G, growing add-tech and OTT space.
- **Medical:** Healthcare business has seen steady growth of almost 3x in the last 8 quarters. Investing in adjacency in the digital and pharma side launching TEngage health platform.
- Focus on deeper customer mining in top 10 clients and beyond.
- **Margins:** Impact of wage hike (for 25% of employees) during Q1 was offset by higher utilisation, optimization of S,G&A and prize hikes secured from certain customers.
- **Headcount:** Expects to add 3,000 – 3,500 freshers in FY23 and 1,000-1,500 laterals to offset attrition. Total employees over 10,000 and net additions were 771 which was more than double of Q4FY22. Attrition rate dipped marginally to 19% in Q1FY23 vs 20.8% in Q4FY22.
- The revenue offshore:onsite mix of 75:25 was sustained thereby aiding to higher margins.
- >Effort mix: 90:10 offshore:onsite. Expects to remain in this range for the foreseeable future.
- Over the past few years have shifted from project based to annuity based relationships which results in higher margins.
- The growth in their SI business comes entirely from India, which has contributed to growth of their business in India. Due to recent macro issues there has been a decline from their China, Japan and Korea business.
- There has been a decline in Tax rate QoQ due to expansion of their capacity in Trivandrum moving to a SEZ space and there was a onetime tax impact during Q4FY22. Leading to an expected lower tax rate in FY23E vs FY22.

Quarterly Deviation Sheet

YE March (Rs mn)	Q1 FY23	Q4 FY22	Q-o-Q change %	Q1 FY22	Y-o-Y change %	Q1 FY23 Est.	Deviation %
Revenues (INR)	7,259	6,817	6.5%	5,583	30.0%	7,505	(3.3%)
Cost of Raw Material	397	339	17.3%	397	0.1%	450	(11.7%)
Gross Profit	6,861	6,479	5.9%	5,186	32.3%	7,054	(2.7%)
Direct Costs	4,480	4,266	5.0%	3,686	21.5%	4,669	(4.1%)
EBITDA	2,382	2,212	7.6%	1,500	58.8%	2,385	(0.2%)
Depreciation & Amortisation	171	159	7.6%	119	43.4%	188	(8.9%)
EBIT	2,211	2,054	7.6%	1,381	60.1%	2,198	0.6%
Other Income, net	103	181	(43.0%)	175	(41.0%)	206	(50.0%)
Interest Paid	34	32		16		32	
PreTax Income	2,314	2,235	3.5%	1,556	48.7%	2,404	(3.8%)
Adjusted Pretax Income	2,280	2,203	3.5%	1,539	48.1%	2,372	
Tax	433	603	(28.1%)	406	6.8%	649	
Share of Minority Interest							
Net Profit	1,847	1,600	15.4%	1,134	62.9%	1,723	7.2%
Adjusted Net Profit	1,847	1,600	15.4%	1,134	62.9%	1,723	7.2%
Diluted EPS (Rs)	29.7	25.7	15.4%	18.2		27.7	
Adjusted Diluted EPS	29.7	25.7	15.4%	18.2		27.7	7.2%
No.of Shares (mn) - Diluted	62	62		62		62	
Margin Analysis (%)			Change in bps	Change in bps			
EBIT Profit Margin (%)	30.5%	30.1%	33	24.7%	572	29.3%	117
EBITDA Margin (%)	32.8%	32.5%	36	26.9%	594	31.8%	102
Net Profit Margin (%)	25.4%	23.5%	198	20.3%	514	23.0%	248
Adjusted NPM (%)	25.4%	23.5%	198	20.3%	514	23.0%	248
Effective Tax rate (%)	18.7%	27.0%	(825)	26.1%	(736)	27.0%	(828)

Source: Company, D&B Research

Valuation & Outlook

Tata Elxsi is currently trading at 62.9x / 55.3x FY23e / FY24e EPS.

We believe that valuations will remain at elevated levels due to the consistent strong growth delivered by the company coupled with industry leading profitability.

However, given the softened sentiment of the market, we believe that the golden days premium valuations are over

Although we increase our TP as EPS estimates are revised upwards, we recommend investors to keep booking partial profits and HOLD the balance.

We assign a target multiple of 50x FY24e EPS to arrive at a TP of INR 7,280

Financials

Profit & Loss A/c						Balance Sheet					
YE March (Rs. mn)	FY 20	FY 21	FY 22E	FY 23E	FY 24E	YE March(Rs. mn)	FY 20	FY 21	FY 22E	FY 23E	FY 24E
Total Revenue	16099	18261	24708	30914	34516	Liabilities					
Less:						Equity Capital	623	623	623	623	623
Cost of Sales	811	870	1262	1777	1381	Reserves & Surplus	10278	12899	16211	20998	26441
Personnel Expenses	9509	10245	12881	15297	17753	Equity	10900	13522	16834	21621	27063
Admin and Selling Expenses	2349	1922	2908	3662	4142	Net Worth	10900	13522	16834	21621	27063
Total Operating Expenditure	12669	13037	17051	20736	23275	Total Loans	816	1001	168	164	184
EBITDA	3430	5224	7657	10178	11240	Capital Employed	11716	14522	17002	21785	27248
Less: Depreciation	434	444	553	728	863	Assets					
EBIT	2996	4780	7103	9450	10377	Gross Block	1620	1859	2209	2559	2909
Growth Y-o-Y (%)	-23%	60%	49%	33%	10%	Less: Depreciation	797	999	1552	2280	3143
Non-operating Income	584	398	445	547	949	Net Block	823	860	657	279	-234
Profit Before tax	3524	5119	7455	9863	11192	Capital WIP	9	73	49	64	79
Tax	954	1432	1937	1888	2125	Investment s	168	1224	241	271	301
Net Profit	2571	3687	5517	7975	9067	Intangible Assets	129	186	139	139	139
Adjusted Profit	2571	3687	5517	7975	9067	Others - A	748	911	186	186	186
Growth Y-o-Y (%)	-11%	43%	50%	45%	14%	Current Assets					
EPS	41.3	59.2	88.6	128.1	145.6	Sundry Debtors	3924	4023	5077	6098	6809
Growth Y-o-Y (%)	-11%	43%	50%	45%	14%	Cash and Bank Balance	6642	8596	12108	16755	22281
EBITDA Margin (%)	21%	29%	31%	33%	33%	Other Current Assets	1420	1285	1538	1787	1931
EBIT Margin (%)	19%	26%	29%	31%	30%	Total Current Assets	12012	13914	18759	24682	31068
PAT Margin (%)	16%	20%	22%	26%	26%	Less:Current Liabilities & Provisions					
Valuation Ratios						Sundry Creditors	471	561	934	1363	1530
YE March (Rs. mn)	FY 20	FY 21	FY 22E	FY 23E	FY 24E	Total Current Liabilities & Provisions	2174	2645	3030	3838	4293
P/E (x)	195.1x	136.1x	90.9x	62.9x	55.3x	Capital Applied	11716	14522	17002	21785	27248
P/BV (x)	46.0x	37.1x	29.8x	23.2x	18.5x	Cash Flow Statement					
EV/EBITDA (x)	165.5x	103.4x	68.9x	51.3x	46.2x	YE March	FY 20	FY 21	FY 22E	FY 23E	FY 24E
EV/Sales	30.8x	27.1x	19.8x	15.7x	13.9x	PAT	2,571	3,687	5,517	7,975	9,067
Market Cap./ Sales (x)	31.2x	27.5x	20.3x	16.2x	14.5x	Less: Non Operating Income	-584	-398	-445	-547	-949
Dividend Yield (%)	0.2%	0.6%	0.4%	0.6%	0.7%	Add: Depreciation	434	444	553	728	863
Key Ratios						Tax Adjustment					
YE March (Rs. mn)	FY 20	FY 21	FY 22E	FY 23E	FY 24E	Operating Profit before WC Changes	2,476	3,792	5,719	8,290	9,115
Key Operating Ratios						Net Cash Generated From Operations	2,334	4,316	4,772	7,820	8,710
EBIT Margin (%)	18.6%	26.2%	28.8%	30.6%	30.1%	Cash Flow from Investing Activities					
Tax / PBT (%)	27.1%	28.0%	26.0%	19.1%	19.0%	(Inc)/Dec in Fixed Assets	-149	-239	-350	-350	-350
Net Profit Margin (%)	16.0%	20.2%	22.3%	25.8%	26.3%	Net Cash Flow from Investing Activities	-154	-1,202	1,865	137	539
RoE (%)	24.1%	26.9%	33.9%	38.3%	34.7%	Cash Flow from Financing Activities					
RoCE (%)	26.9%	27.2%	34.7%	40.1%	37.4%	Inc/(Dec) in Total Loans	678	185	-832	-4	21
Current Ratio (x)	5.5x	5.3x	6.2x	6.4x	7.2x	Dividend Paid	1028	2989	2205	3188	3624
Dividend Payout (%)	40.0%	81.1%	40.0%	40.0%	40.0%	Net Cash Flow from Financing Activities	-419	-2,864	-3,132	-3,326	-3,738
Book Value Per Share (Rs.)	175.0	217.1	270.3	347.2	434.6	Net Inc/(Dec) in cash equivalents	1,761	250	3,505	4,631	5,511
Growth Indicators %						Opening Balance	5,158	6,642	8,596	12,108	16,755
Growth in Gross Block (%)	10.1%	14.8%	18.8%	15.8%	13.7%	Closing Balance Cash	6,919	6,892	12,101	16,740	22,266
Sales Growth (%)	0.8%	13.4%	35.3%	25.1%	11.6%	Free Cash Flow Statement					
EBITDA Growth (%)	-23.2%	59.6%	48.6%	33.0%	9.8%	YE March	FY 20	FY 21	FY 22E	FY 23E	FY 24E
Net Profit Growth (%)	-11.4%	43.4%	49.6%	44.5%	13.7%	EBITDA	3,430	5,224	7,657	10,178	11,240
Diluted EPS Growth (%)	-11.4%	43.4%	49.6%	44.5%	13.7%	Add: Depreciation Tax Shield	117	124	144	139	164
						Working Capital Changes	-259	496	-947	-470	-405
						Less: Inc in FC Investment	-149	-239	-350	-350	-350
						Taxes Paid	-954	-1,432	-1,937	-1,888	-2,125
						Total Free Cash Flows	2186	4174	4566	7610	8524

Source: Dalal & Broacha Research, Company

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